

C213

Accounting for Decision Makers

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A consulting firm with a strong regional reputation and twelve senior staff finished a \$40,000 engagement on December 20. The client, a long-standing hospital network with an excellent payment record, paid the invoice on January 15 of the next year. The firm uses accrual accounting and closes its books on December 31. In which year does the firm record the revenue?

- A. The second year, when the cash arrived.
- B. Split evenly across both years.
- C. The first year, when the work was completed.
- D. Neither year until the client's payment record is verified by the auditor.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A retailer received \$12,000 in cash on November 30 for a year of software support it will deliver evenly starting December 1. Under accrual accounting, how much revenue does it report for the year ending December 31?

- A. \$11,000
- B. \$1,000
- C. \$0, because no service is recognized until the contract ends.
- D. \$12,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A small manufacturer whose owner has run it for thirty years borrows \$50,000 from its bank at 7% interest and deposits the full amount in its operating account. The loan officer described the company as low-risk. Immediately after the deposit, what is the effect on the accounting equation?

- A. Only assets rise by \$50,000.
- B. Assets rise by \$53,500 and liabilities by \$53,500.
- C. Assets and equity each rise by \$50,000.
- D. Assets and liabilities each rise by \$50,000; equity is unchanged.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A board member reviewing the annual report wants to know how much the company owed its suppliers at the close of business on the last day of the fiscal year. Sales grew 14% that year and the CFO highlighted record gross margin. Which statement answers the question?

- A. The statement of cash flows.
- B. The balance sheet.
- C. The income statement.
- D. The statement of retained earnings.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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5.

During the year a delivery company collected \$900,000 from customers, paid \$600,000 to drivers and fuel suppliers, bought two new vans for \$120,000 cash, and took out a \$100,000 bank loan. Management says the vans will cut fuel use by a third. What is cash from investing activities?

- A. +\$120,000
- B. -\$120,000
- C. -\$20,000
- D. +\$300,000

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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6. [TRANSFER — reversed stem / different variable]

A company's statement of cash flows shows a financing inflow of \$250,000. Which transaction could produce it?

- A. Selling an old warehouse for cash.
- B. Paying a cash dividend to shareholders.
- C. Issuing new shares of stock to investors for cash.
- D. Collecting a large overdue customer invoice.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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7.

A clinic reports net income of \$180,000 for the year. Its equipment, bought three years ago from a well-known German manufacturer, generated \$40,000 of depreciation expense. Receivables and payables did not change. Using the indirect method, what is cash from operating activities?

- A. \$220,000
- B. \$180,000
- C. \$140,000
- D. \$40,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A bakery sells a specialty cake for \$45. Ingredients and packaging cost \$15 per cake, and the owner pays \$9,000 a month in rent and salaries. Last December it sold 700 cakes and was featured in a local magazine. How many cakes must it sell in a month to break even?

- A. 300
- B. 700
- C. 200
- D. 600

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A product has fixed costs of \$24,000 a month and breaks even at 800 units. Variable cost is \$20 per unit. What is the selling price?

- A. \$50
- B. \$30
- C. \$10
- D. \$20

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A print shop's lease is \$6,000 a month no matter how many jobs it runs. In a slow month it printed 1,000 jobs; after landing a university contract it printed 3,000. The owner hired a second designer the same month. What happened to lease cost per job?

- A.** It stayed at \$6.00 per job, because the lease is fixed.
- B.** It cannot be known without the designer's salary.
- C.** It tripled, because volume tripled.
- D.** It fell from \$6.00 to \$2.00 per job.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A regional hospital budgeted \$2.4 million for supplies this quarter. Actual supply spending came in at \$2.1 million while patient volume matched the plan. The purchasing director was recently promoted. Which description of the supply variance is correct?

- A.** Always favorable whenever spending is under budget.
- B.** \$300,000 unfavorable, because actual is less than budget.
- C.** \$2.1 million favorable.
- D.** \$300,000 favorable.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A software company budgeted \$5.0 million in subscription revenue and earned \$4.6 million. How is the revenue variance labeled?

- A.** \$400,000 favorable.
- B.** \$4.6 million unfavorable.
- C.** \$400,000 unfavorable.
- D.** No variance, because it is within 10%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A consulting firm ~~with a strong regional reputation and twelve senior staff~~ finished a \$40,000 engagement on December 20. The client, ~~a long-standing hospital network with an excellent payment record,~~ paid the invoice on January 15 of the next year. The firm uses accrual accounting and closes its books on December 31. In which year does the firm record the revenue?

Target word: which year — recognition timing **Decides:** Work was completed (earned) December 20; accrual basis.

A	Inverted operation	That is cash-basis timing; the stem says accrual.
B	Adjacent category	Proration applies to services delivered over time across the cutoff; this work was complete before year-end.
C	Correct	Accrual recognizes revenue when earned; completion on December 20 falls in the first year.
D	Camouflage	Answers the payment-record detail, which does not decide recognition.

2. Answer B Concept 1 • transfer

A retailer received \$12,000 in cash on November 30 for a year of software support it will deliver evenly starting December 1. Under accrual accounting, how much revenue does it report for the year ending December 31?

Target word: how much revenue this year **Decides:** One month of twelve delivered by December 31.

A	Inverted operation	That is the unearned balance still owed in service, not the revenue.
B	Correct	$\$12,000 / 12 \text{ months} \times 1 \text{ month delivered} = \$1,000$; the rest is unearned revenue (a liability).
C	Absolute language	Revenue is recognized as it is earned, month by month, not all at the end.
D	Wrong stem number	The cash received, not the amount earned.

3. Answer D Concept 2

A small manufacturer ~~whose owner has run it for thirty years~~ borrows \$50,000 from its bank ~~at 7% interest~~ and deposits the full amount in its operating account. ~~The loan officer described the company as low risk.~~ Immediately after the deposit, what is the effect on the accounting equation?

Target word: effect on the equation **Decides:** Cash up and a loan payable up by the same amount.

A	Dropped element	Every entry touches at least two accounts; the equation must still balance.
B	Camouflage	Adds interest that has not accrued yet; the rate does not decide the day-one entry.
C	Adjacent category	Borrowed money is owed to a lender, a liability, not owner equity.
D	Correct	Cash (asset) +\$50,000 and notes payable (liability) +\$50,000; no income or owner contribution.

4. Answer B Concept 3

A board member reviewing the annual report wants to know how much the company owed its suppliers at the close of business on the last day of the fiscal year. ~~Sales grew 14% that year and the CFO highlighted record gross margin.~~ Which statement answers the question?

Target word: owed at a point in time **Decides:** "At the close of business on the last day" is a point in time; accounts payable is a liability.

A	Confusion set	Shows the change in payables within operating cash, not the balance owed.
B	Correct	Liabilities such as accounts payable are reported as of a date on the balance sheet.
C	Camouflage	Answers the sales and margin facts; the income statement covers a period, not amounts owed at a date.
D	Confusion set	Reconciles equity, not what is owed to suppliers.

5. Answer B Concept 4

During the year a delivery company collected \$900,000 from customers, paid \$600,000 to drivers and fuel suppliers, bought two new vans for \$120,000 cash, and took out a \$100,000 bank loan. ~~Management says the vans will cut fuel use by a third.~~ What is cash from investing activities?

Target word: investing activities only **Decides:** Only the van purchase is a long-term asset transaction.

A	Inverted operation	Right amount, wrong sign: buying assets uses cash.
B	Correct	Buying long-term assets is an investing outflow.
C	Adjacent category	Nets the loan (financing) against the vans (investing).
D	Confusion set	That is operating cash: customers minus drivers and fuel.

6. Answer C Concept 4 • transfer

A company's statement of cash flows shows a financing inflow of \$250,000. Which transaction could produce it?

Target word: financing inflow — reverse from the result to the transaction **Decides:** Financing = cash from lenders or owners.

A	Adjacent category	Selling a long-term asset is investing.
B	Inverted operation	A dividend is financing, but an outflow.
C	Correct	Cash from owners is a financing inflow.
D	Confusion set	Customer collections are operating.

7. Answer A Concept 5

A clinic reports net income of \$180,000 for the year. Its equipment, ~~bought three years ago from a well-known German manufacturer,~~ generated \$40,000 of depreciation expense. Receivables and payables did not change. Using the indirect method, what is cash from operating activities?

Target word: cash from operations **Decides:** Depreciation is a non-cash expense added back.

A	Correct	$\$180,000 + \$40,000$ non-cash depreciation = \$220,000.
B	Dropped element	Leaves out the add-back.
C	Inverted operation	Subtracts depreciation as if it were a cash payment.
D	Wrong stem number	The depreciation figure, not cash from operations.

8. Answer A Concept 6

A bakery sells a specialty cake for \$45. Ingredients and packaging cost \$15 per cake, and the owner pays \$9,000 a month in rent and salaries. ~~Last December it sold 700 cakes and was featured in a local magazine.~~ How many cakes must it sell in a month to break even?

Target word: break-even units per month **Decides:** Contribution margin = $\$45 - \$15 = \$30$ per cake.

A	Correct	$\$9,000 / \$30 = 300$ cakes.
B	Wrong stem number	December's sales, which do not decide break-even.
C	Dropped element	$\$9,000 / \45 ignores variable cost per cake.
D	Inverted operation	$\$9,000 / \15 divides by variable cost instead of contribution margin.

9. Answer A Concept 6 • transfer

A product has fixed costs of \$24,000 a month and breaks even at 800 units. Variable cost is \$20 per unit. What is the selling price?

Target word: solve for price **Decides:** Contribution margin per unit = $\$24,000 / 800 = \30 .

A	Correct	CM \$30 + variable cost \$20 = \$50.
B	Dropped element	That is the contribution margin; price still needs the variable cost added.
C	Inverted operation	Subtracts variable cost from contribution margin.
D	Wrong stem number	The variable cost given in the stem.

10. Answer D Concept 7

A print shop's lease is \$6,000 a month no matter how many jobs it runs. In a slow month it printed 1,000 jobs; after landing a university contract it printed 3,000. ~~The owner hired a second designer the same month.~~ What happened to lease cost per job?

Target word: fixed cost per unit as volume rises **Decides:** Total lease is fixed; spreading it over more jobs lowers it per job.

A	Adjacent category	Total fixed cost is constant; fixed cost per unit is not.
B	Camouflage	The new hire does not change the lease.
C	Inverted operation	Describes total variable cost, not fixed cost per unit.
D	Correct	$\$6,000 / 1,000 = \6.00 ; $\$6,000 / 3,000 = \2.00 .

11. Answer D Concept 8

A regional hospital budgeted \$2.4 million for supplies this quarter. Actual supply spending came in at \$2.1 million while patient volume matched the plan. ~~The purchasing director was recently promoted.~~ Which description of the supply variance is correct?

Target word: variance label for a cost **Decides:** Actual cost below budget on a cost line.

A	Absolute language	Under-spending can signal skipped purchases; the label is favorable here because volume matched plan.
B	Inverted operation	Applies the revenue rule to a cost line.
C	Wrong stem number	The actual amount, not the difference.
D	Correct	Spending less than budget on a cost is favorable.

12. Answer C Concept 8 · transfer

A software company budgeted \$5.0 million in subscription revenue and earned \$4.6 million. How is the revenue variance labeled?

Target word: variance label for revenue **Decides:** Actual revenue below budget.

A	Inverted operation	Applies the cost rule to a revenue line.
B	Wrong stem number	The actual amount, not the difference.
C	Correct	For revenue, falling short of budget is unfavorable.
D	Adjacent category	Materiality thresholds decide whether to investigate, not whether a variance exists.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	4	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Accrual vs. cash basis	Revenue is recognized when earned and expenses when incurred, not when cash moves.	Booking revenue on the day cash arrives.	A date gap between delivery and payment.
2	The accounting equation	Assets = Liabilities + Equity after every transaction; every entry touches at least two accounts.	Moving only one side of the equation.	"What happens to total assets / equity?"
3	Which statement shows what	Income statement = a period's performance; balance sheet = a point-in-time position; cash flow statement = cash movement by activity.	Looking for cash on the income statement or profit on the balance sheet.	"As of" (a date) vs. "for the year ended" (a period).
4	Cash flow classification	Operating = running the business; investing = long-term assets; financing = owners and lenders.	Putting equipment purchases or loan proceeds in operating.	Who is on the other side of the cash: customer, asset seller, or lender/owner.
5	Depreciation is non-cash	Depreciation lowers net income and taxes but uses no cash; it is added back under the indirect method.	Treating depreciation as a cash outflow.	Net income vs. cash from operations differ by a round depreciation figure.
6	Contribution margin and break-even	Break-even units = fixed costs / (price – variable cost per unit).	Dividing fixed costs by price, or adding variable costs to fixed.	A per-unit price and a per-unit variable cost in the same stem.
7	Fixed vs. variable cost behavior	Total fixed cost stays flat in the relevant range; fixed cost per unit falls as volume rises. Variable cost per unit stays flat; total variable cost rises.	Saying fixed cost per unit is constant.	"Per unit" next to "fixed".
8	Budget variance direction	A cost variance is favorable when actual cost is below budget; a revenue variance is favorable when actual revenue is above budget.	Calling any positive number favorable.	Actual vs. budget for a cost line.

Course scope (public description): This course provides you with the accounting knowledge and skills to assess and manage a business. Topics include the accounting cycle, financial statements, taxes, and budgeting. This course will improve students' ability to understand reports and use accounting information to plan and make sound business decisions.